AR 2EB

ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO

LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Recursion Pharmaceuticals

NASDAQ : RXRX · Young-Company DCF (Damodaran) · $1.85B mkt cap · 510M sh · $665M cash, zero debt · $0.665B cash (Q1'26); runway into early 2028; burn ~$340M/yr; FY25 revenue $74.7M (+27%) — all collaboration/milestone, no product sales; Down ~11% YTD to $3.64; ~510M shares post-Exscientia merger + ATM

22 October 2026 · the qualitative

$3.64

THE CENTRAL QUESTION

At $3.64 with ~$1.3/share of net cash, is RXRX a cheap option on AI-drug-discovery validation, or a platform that funds itself toward dilutive stagnation?

Recursion runs an AI-drug-discovery platform — automated wet-lab Phenomaps plus an NVIDIA supercomputer — that maps cellular phenotypes to find drug candidates. After the Exscientia merger doubled the share count, it trades at $3.64 (~$1.85B cap) on FY25 revenue of $74.7M that is entirely collaboration income — no approved drug. Funded into early 2028, the near-term risk is dilution, not insolvency. The DCF asks whether the platform ever yields an economically-meaningful approved drug. Weighted fair value is $3.85, ~6% above spot — roughly fair; the modal base sits below the price, so the answer rides the right tail.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) -79.4% · 77% at or below spot

$3.85 expected fair value today

+5.9% vs spot $3.64

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
$6.14	$9.80	$15.64	$24.97
1.69× spot	2.69× spot	4.30× spot	6.86× spot

WEIGHTING RATIONALE

Ultra Bear 15% Platform never delivers; milestone-only revenue, heavy dilution toward the cash floor.

Bear 30% One or two small partnered wins; revenue stays sub-scale and dilution offsets it.

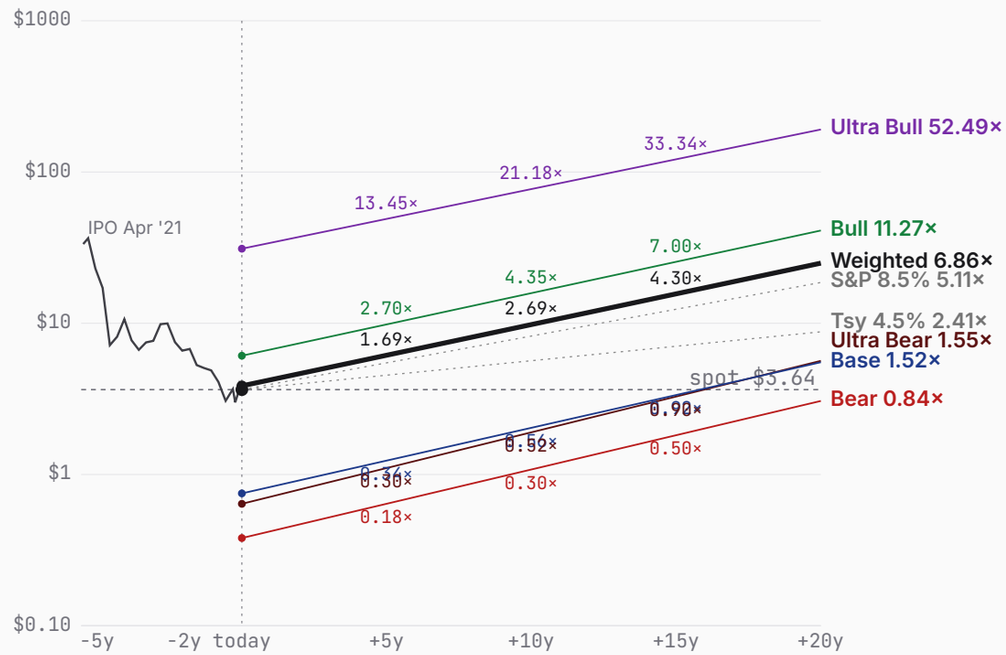
Base 32% Modest validation — a few wins plus broader partnerships; ~$0.9B revenue, still dilutive.

Bull 15% AI discovery becomes a real engine — multiple approvals, royalty and licensing income.

Ultra Bull 8% Recursion OS becomes a dominant tech-bio platform; a pharma-scale outcome.

Bull (15%) + Ultra Bull (8%) together contribute $3.40 — 88% of the $3.85 expected value despite 23% combined probability. Today's spot ($3.64) sits 5% below the weighted expected.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR — $0.64

-82.4% vs spot

TAM 0.3% P(fail) 85%
S2C 1.0 Prob 15%

Platform never delivers; dilutive grind to the floor

BEAR — $0.38

-89.6% vs spot

TAM 1.0% P(fail) 55%
S2C 1.1 Prob 30%

A couple small partnered wins; revenue stays sub-scale

BASE — $0.75

-79.4% vs spot

TAM 1.8% P(fail) 35%
S2C 1.1 Prob 32%

Platform validates modestly; still dilutive

BULL — $6.10

+67.6% vs spot

TAM 5.0% P(fail) 15%
S2C 1.3 Prob 15%

AI discovery becomes a real engine

ULTRA BULL — $31.11

+754.7% vs spot

TAM 10.4% P(fail) 8%
S2C 1.5 Prob 8%

A dominant tech-bio platform

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AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO — LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Recursion Pharmaceuticals scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 30% Base 32% Bull 15% Ultra Bull 8% · Weighted expected $3.85 (+5.9% vs spot)

ULTRA BEAR $0.64

-82.4% vs spot

Probability 15%

Platform never delivers; dilutive grind to the floor

WHY 15%

A 15% read. The platform has zero approved drugs and NVIDIA fully exited its equity in Feb 2026 — a negative external signal. An 85% p_fail reflects that AI-bio has, industry-wide, not yet produced an approved drug.

WHAT HAPPENS

The Recursion OS produces no approved, economically-meaningful drug. Revenue stays milestone-only and sub-scale — about $0.15B by FY35 at a 3% operating margin — as partnered programs stall and pharma interest in the platform fades. The discovery engine is real but never converts into product royalties.

With nothing to fund itself, the company raises roughly $1.15B over the decade, pushing the share count toward 970M. The DCF lands at ~$0.24; the $0.80 distress floor and residual cash drive the expected value to $0.64. The bet expires worthless except for the balance sheet.

BEAR $0.38

-89.6% vs spot

Probability 30%

A couple small partnered wins; revenue stays sub-scale

WHY 30%

A 30% read — the heaviest single weight. Reflects partial platform validation: Roche, Sanofi, and Bayer deals exist and Sanofi paid a fifth milestone in Feb 2026, but a 55% p_fail captures how rarely partnered candidates clear.

WHAT HAPPENS

One or two partnered programs reach approval or meaningful royalty, but the platform never becomes a self-sustaining engine. Revenue reaches about $0.50B by FY35 at a 22% operating margin — better than milestone-only, yet far short of the scale needed to justify a platform multiple.

Continued spending forces roughly $1.1B of raises, lifting shares toward 877M and offsetting much of the operating progress. The DCF is ~$0.14 and the expected value $0.38. Real science, but the economics never outrun the dilution.

BASE $0.75

-79.4% vs spot

Probability 32%

Platform validates modestly; still dilutive

WHY 32%

A 32% read, the modal case. A 35% p_fail assumes the platform delivers at least modest product or royalty economics within the decade — consistent with three named pharma partners but no approved drug yet.

WHAT HAPPENS

Recursion OS proves itself in a limited way — a couple of pipeline or royalty wins plus expanding pharma partnerships. Revenue reaches about $0.90B by FY35 at a 28% operating margin as collaboration income broadens into early product and royalty streams. The platform earns credibility without becoming dominant.

Growth still outpaces internal funding, so roughly $1.2B is raised and shares drift toward 810M. The DCF is $0.72 and the expected value $0.75 — both below spot. The modal outcome validates the science yet leaves the equity worth less than today's price.

BULL $6.10

+67.6% vs spot

Probability 15%

AI discovery becomes a real engine

WHY 15%

A 15% read. Requires the data flywheel to translate into repeated approvals — a 15% p_fail. Anchored to the combo and registrational readouts due 2026-2027, which would be the first hard evidence the engine produces drugs.

WHAT HAPPENS

The platform converts into a genuine discovery engine — multiple approvals across the pipeline (REC-617, REC-4881, REC-1245 and successors), plus royalty and platform-licensing income. Revenue reaches about $2.50B by FY35 at a 35% operating margin as the Phenomap flywheel compounds into repeatable output.

Milestones and royalties fund more of the spend, so dilution eases and shares settle near 616M. The DCF is $7.03 and the expected value $6.10 — ~68% above spot. This is the first scenario where platform value clearly exceeds the price paid.

ULTRA BULL $31.11

+754.7% vs spot

Probability 8%

A dominant tech-bio platform

WHY 8%

An 8% read. The lowest-probability, highest-payoff outcome: an 8% p_fail and a winner-take-most platform result. It assumes the Phenomap data advantage becomes a durable cornered resource the rest of AI-bio cannot replicate.

WHAT HAPPENS

Recursion OS becomes a dominant tech-bio platform — the standard layer for AI-driven discovery, licensed broadly and generating a major pharma-scale outcome. Revenue reaches about $5.20B by FY35 at a 40% operating margin as platform economics, not single drugs, drive the model.

Self-funding largely replaces dilution and the equity compounds toward roughly $19B. The DCF is $33.75 and the expected value $31.11 — about eight times spot. This tail is where the bulk of the weighted value lives, and it depends on the platform cornering the discovery resource.

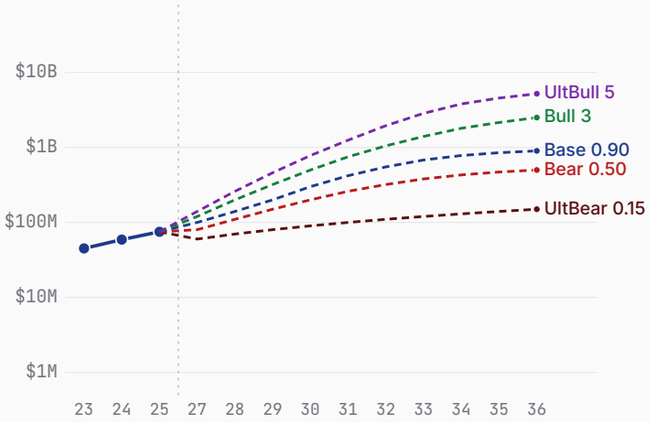
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Recursion Pharmaceuticals business snapshot

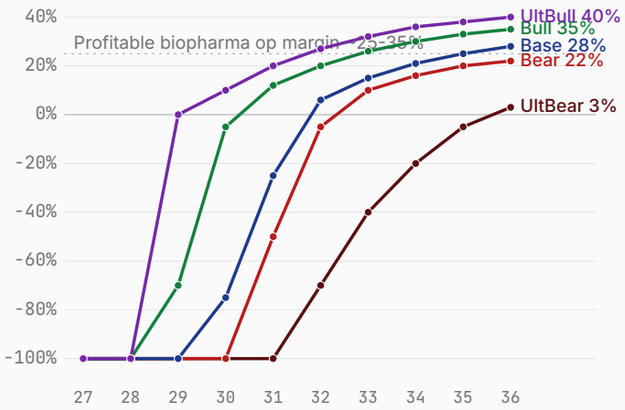
Bear $0.38 Base $0.75 Bull $6.10

FY23-FY25 history + FY26-FY35 scenario projections · fiscal years end Dec 31 · Q1'26 (May 2026) release

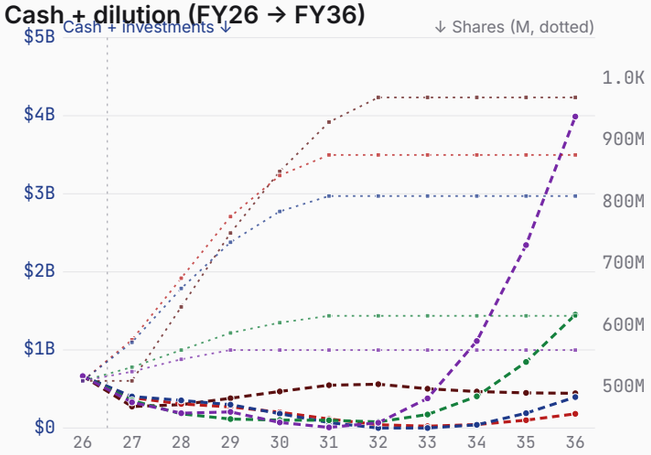
Revenue — history + scenarios to FY36 (log)



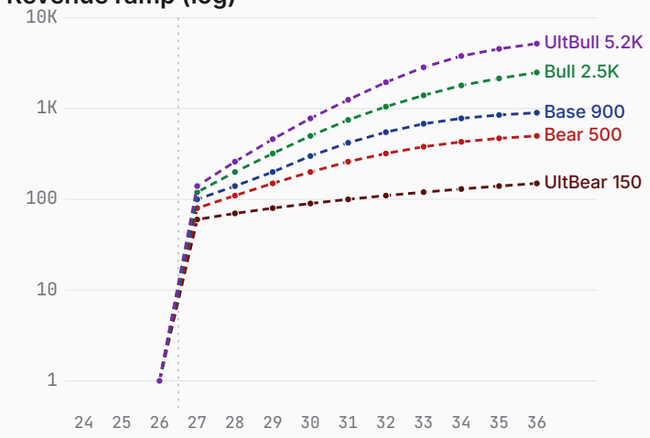
Path to profitability — op margin (FY27→FY36)



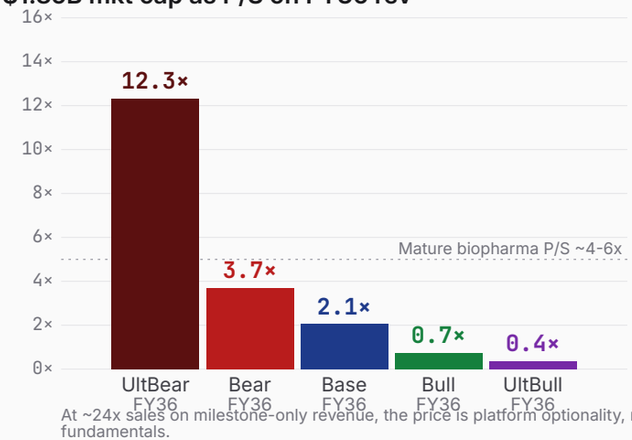
Cash + dilution (FY26 → FY36)



Revenue ramp (log)

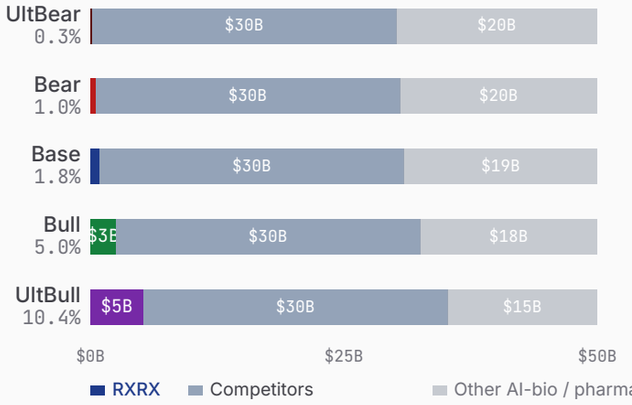


$1.85B mkt cap as P/S on FY36 rev



At ~24x sales on milestone-only revenue, the price is platform optionality, not fundamentals.

$50B AI-enabled drug-discovery value — RXRX share



Sources: RXRX FY2025 results + Q1'26 8-K (CIK 1601830), company runway/burn guidance. Revenue is collaboration/milestone income (no product sales). FCF is NOL-shielded pre-tax over the explicit window (documented simplification). TAM: a serviceable slice of AI-enabled drug-discovery value, ~$50B.

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Recursion Pharmaceuticals 7 Powers · the moat, scored

Bear $0.38 Base $0.75 Bull $6.10

Arena. AI-driven drug discovery — turning proprietary biological data into approved drugs — where RXRX competes with private AI-bio labs, one public peer, and big-pharma in-house AI.

POWER ORIGINATION
origination window: open

POWER ORIGINATION · 7 POWERS

Scale Economies	Compute and wet-lab automation scale, but no fixed-cost moat until products generate revenue.
Network Economies	No two-sided network; more partners help data, but value does not compound across users.
Counter-Positioning	Tech-bio model big pharma is slow to copy, but pharma is building its own AI in parallel.
Switching Costs	Multi-year collaborations create some stickiness, but partners run several AI vendors at once.
Branding	No brand power pre-approval; credibility rests on data, not name.
Cornered Resource · thesis leans here	The Phenomap dataset and BioHive-2 are the strongest candidate — proprietary, hard to replicate at scale, but unproven as a drug-output advantage.
Process Power	Integrated discovery workflow is distinctive but not yet shown to produce approved drugs repeatably.

THE RACE · NAMED RIVALS

Insilico Medicine — Private (VC-backed)

~0% terminal share · Generative-AI discovery; launched Phase III of AI-discovered rentosertib (~Jul 2026) and signed an Eli Lilly collaboration worth up to $2.75B (Mar 2026) — a full clinical phase ahead

Isomorphic Labs — Alphabet-funded

~0% terminal share · Alphabet/DeepMind spinout; AlphaFold lineage. $2.1B Series B (May 2026), the largest AI-drug-discovery raise to date; first clinical trials expected end-2026

Schrodinger — Public equity

~0% terminal share · Physics-based computational platform (the listed comp); Simcere collaboration (Jul 2026), pipeline narrowed to two clinical assets, pivoting toward partnership/software

Big-pharma in-house AI — Pharma balance sheets

~0% terminal share · Roche, Sanofi, Novartis building internal AI — partners and potential substitutes

LEAD / LAG · FALSIFIERS

Approved drugs from AI discovery	Zero vs Zero (Insilico/Isomorphic/Schrodinger)	EVEN
Proprietary phenotypic data scale	Industry-leading Phenomap library vs Smaller / model-based	LEADING
Capital and balance-sheet depth	~$0.665B cash, dilution-funded vs Deeper (Alphabet, big pharma)	LAGGING

COMPETITIVE READ

No durable Power is originated yet — like all AI-bio, RXRX has zero approved drugs, so switching costs, branding and scale economies are still latent. The one candidate is a cornered resource: the Phenomap dataset and BioHive-2 compute generate proprietary phenotypic data at a scale rivals cannot easily match. The competitive clock is now ticking louder: in mid-2026 Insilico moved a molecule into Phase III (a full clinical phase ahead of Recursion), Isomorphic raised a record $2.1B, and Schrodinger narrowed to a two-asset partnership model — the exact "well-capitalized rivals close the gap" pressure the bull thesis names as its falsifier. Yet the window has not closed: no rival has an approved AI-discovered drug either, so the head-to-head on approvals is still a tie at zero, and Recursion's phenotypic-data-scale lead is intact while its capital-depth disadvantage only sharpens. The falsifier the bull must clear is the 2026-2027 readouts producing real clinical and royalty economics — until a drug ships, the resource is unproven and the Power window stays open, not won.

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Recursion Pharmaceuticals show your work

Bear $0.38 Base $0.75 Bull $6.10 · Weighted $3.85 (+5.9%)

ULTRA BEAR $0.64

ASSUMPTIONS

TAM Year-10 ($B)	50
Mature share (%)	0.3
Mature op margin (%)	3
Sales-to-capital	1.0
Terminal WACC (%)	11.5
Terminal growth (%)	3.0
P(failure) (%)	85
Scenario probability (%)	15

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.06	-550%	-0.32	-0.28
FY28	0.07	-380%	-0.28	-0.21
FY29	0.08	-260%	-0.22	-0.15
FY30	0.09	-170%	-0.16	-0.10
FY31	0.10	-110%	-0.12	-0.06
FY32	0.11	-70%	-0.09	-0.04
FY33	0.12	-40%	-0.06	-0.02
FY34	0.13	-20%	-0.04	-0.01
FY35	0.14	-5%	-0.02	-0.01
FY36	0.15	+3%	-0.01	-0.00

Σ PV explicit FCF	**-0.88**
+ PV terminal (g 3.0%)	-0.02

EQUITY BUILD · $B & PER SHARE

Operating EV	$-0.90B
+ Cash & investments	$0.67B
= Equity value	**$-0.23B**
Raised over period	$1.15B
Dilution by FY36	+90%
FY36 shares (M)	970
DCF per share	**$-0.24**
× (1−P_fail) [15%]	$-0.04
+ P_fail × distress [85% × $0.80]	$0.68
= Expected per share	**$0.64**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$1.10	$1.90	$3.28	$5.65
0.30×	0.52×	0.90×	1.55×

BEAR $0.38

ASSUMPTIONS

TAM Year-10 ($B)	50
Mature share (%)	1.0
Mature op margin (%)	22
Sales-to-capital	1.1
Terminal WACC (%)	11.0
Terminal growth (%)	3.5
P(failure) (%)	55
Scenario probability (%)	30

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.08	-500%	-0.41	-0.35
FY28	0.11	-320%	-0.38	-0.29
FY29	0.15	-200%	-0.34	-0.23
FY30	0.20	-110%	-0.27	-0.16
FY31	0.26	-50%	-0.19	-0.10
FY32	0.32	-5%	-0.07	-0.04
FY33	0.38	+10%	-0.02	-0.01
FY34	0.43	+16%	+0.02	+0.01
FY35	0.47	+20%	+0.06	+0.02
FY36	0.50	+22%	+0.08	+0.03

Σ PV explicit FCF	**-1.13**
+ PV terminal (g 3.5%)	0.34

EQUITY BUILD · $B & PER SHARE

Operating EV	$-0.79B
+ Cash & investments	$0.67B
= Equity value	**$-0.12B**
Raised over period	$1.10B
Dilution by FY36	+72%
FY36 shares (M)	877
DCF per share	**$-0.14**
× (1−P_fail) [45%]	$-0.06
+ P_fail × distress [55% × $0.80]	$0.44
= Expected per share	**$0.38**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$0.64	$1.08	$1.82	$3.06
0.18×	0.30×	0.50×	0.84×

BASE $0.75

ASSUMPTIONS

TAM Year-10 ($B)	50
Mature share (%)	1.8
Mature op margin (%)	28
Sales-to-capital	1.1
Terminal WACC (%)	10.5
Terminal growth (%)	4.0
P(failure) (%)	35
Scenario probability (%)	32

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.10	-420%	-0.44	-0.39
FY28	0.14	-260%	-0.40	-0.31
FY29	0.20	-150%	-0.35	-0.24
FY30	0.30	-75%	-0.32	-0.19
FY31	0.42	-25%	-0.21	-0.12
FY32	0.55	+6%	-0.09	-0.04
FY33	0.68	+15%	-0.02	-0.01
FY34	0.78	+21%	+0.07	+0.03
FY35	0.85	+25%	+0.15	+0.05
FY36	0.90	+28%	+0.21	+0.07

Σ PV explicit FCF	**-1.16**
+ PV terminal (g 4.0%)	1.07

EQUITY BUILD · $B & PER SHARE

Operating EV	$-0.09B
+ Cash & investments	$0.67B
= Equity value	**$0.58B**
Raised over period	$1.20B
Dilution by FY36	+59%
FY36 shares (M)	810
DCF per share	**$0.72**
× (1−P_fail) [65%]	$0.47
+ P_fail × distress [35% × $0.80]	$0.28
= Expected per share	**$0.75**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$1.24	$2.04	$3.35	$5.52
0.34×	0.56×	0.92×	1.52×

BULL $6.10

ASSUMPTIONS

TAM Year-10 ($B)	50
Mature share (%)	5.0
Mature op margin (%)	35
Sales-to-capital	1.3
Terminal WACC (%)	10.0
Terminal growth (%)	5.0
P(failure) (%)	15
Scenario probability (%)	15

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.12	-350%	-0.46	-0.40
FY28	0.20	-180%	-0.42	-0.33
FY29	0.32	-70%	-0.32	-0.22
FY30	0.50	-5%	-0.16	-0.10
FY31	0.75	+12%	-0.10	-0.06
FY32	1.05	+20%	-0.02	-0.01
FY33	1.40	+26%	+0.10	+0.04
FY34	1.80	+30%	+0.23	+0.10
FY35	2.15	+33%	+0.44	+0.16
FY36	2.50	+35%	+0.61	+0.20

Σ PV explicit FCF	**-0.62**
+ PV terminal (g 5.0%)	4.29

EQUITY BUILD · $B & PER SHARE

Operating EV	$3.67B
+ Cash & investments	$0.67B
= Equity value	**$4.33B**
Raised over period	$0.95B
Dilution by FY36	+21%
FY36 shares (M)	616
DCF per share	**$7.03**
× (1−P_fail) [85%]	$5.98
+ P_fail × distress [15% × $0.80]	$0.12
= Expected per share	**$6.10**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$9.82	$15.82	$25.48	$41.04
2.70×	4.35×	7.00×	11.27×

ULTRA BULL $31.11

ASSUMPTIONS

TAM Year-10 ($B)	50
Mature share (%)	10.4
Mature op margin (%)	40
Sales-to-capital	1.5
Terminal WACC (%)	9.5
Terminal growth (%)	6.0
P(failure) (%)	8
Scenario probability (%)	8

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.14	-280%	-0.43	-0.39
FY28	0.26	-100%	-0.34	-0.27
FY29	0.46	+0%	-0.13	-0.09
FY30	0.78	+10%	-0.14	-0.09
FY31	1.25	+20%	-0.06	-0.04
FY32	1.95	+27%	+0.06	+0.03
FY33	2.85	+32%	+0.31	+0.15
FY34	3.80	+36%	+0.73	+0.31
FY35	4.55	+38%	+1.23	+0.47
FY36	5.20	+40%	+1.65	+0.58

Σ PV explicit FCF	**+0.67**
+ PV terminal (g 6.0%)	17.57

EQUITY BUILD · $B & PER SHARE

Operating EV	$18.24B
+ Cash & investments	$0.67B
= Equity value	**$18.90B**
Raised over period	$0.50B
Dilution by FY36	+10%
FY36 shares (M)	560
DCF per share	**$33.75**
× (1−P_fail) [92%]	$31.05
+ P_fail × distress [8% × $0.80]	$0.06
= Expected per share	**$31.11**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$48.97	$77.10	$121.37	$191.07
13.45×	21.18×	33.34×	52.49×

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Recursion Pharmaceuticals People · Opportunity · Context · Deal

Bear $0.38 Base $0.75 Bull $6.10

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Najat Khan, Ph.D. 0 yrs in seat

1%
insider ownership

MEDIUM
key-person risk

Capital allocation (realized)
A leadership transition is in progress: co-founder Chris Gibson stepped down as CEO and Najat Khan (non-founder; joined 2024 as Chief R&D/Commercial Officer, ex-J&J Chief Data Science Officer, ex-BCG) became President & CEO effective January 1, 2026. Capital goes to the AI drug-discovery platform and the 2026-2027 clinical readouts; the all-stock Exscientia acquisition closed in early 2025 (Recursion holders ~74% / Exscientia ~26%). Pre-product and cash-consuming — no dividend or buyback. NVIDIA fully exited its stake in February 2026.

Incentive alignment
Insider economic ownership is low: founder Gibson held ~1% economically after his June 2026 filing, and the new CEO's alignment is option-heavy rather than a founding stake. The dominant alignment lever the thesis relied on — the founder — is being removed as Gibson exits. That exit continued visibly through July 2026: Form 144 notices show Gibson disposing of roughly 100k shares a day plus a 340,440-share block into July 1-2, co-founder Borgeson also filing Form 144s, and near-daily insider sale notices across July 10-21 — the supply overhang Yahoo Finance tied to the 7/22 52-week low.

GOVERNANCE FLAGS

- dual-class (Class B = 10 votes) but effectively collapsed: only ~5.5M Class B remain versus ~522M Class A, and the structure auto-sunsets by ~2027
- co-founder Chris Gibson stepped down as CEO (Jan 2026) and did not seek re-election to the board at the June 2026 annual meeting — founder leaving entirely
- CEO handed to a non-founder professional (Khan) after ~12 years of founder leadership — a transition year
- continued founder/insider Form 144 selling through July 2026 (Gibson ~100k shares/day plus a 340,440-share block into Jul 1-2; co-founder Borgeson also filing; near-daily notices Jul 10-21) — an extension of the flagged founder exit
- NVIDIA fully exited its equity stake (February 2026)

> **PEOPLE READ**
> A transition year: the founder is stepping off both the CEO seat (January 2026) and the board (June 2026), and a non-founder professional now runs the company — which removes the founder-alignment leg but also retires the dual-class super-voting (already nearly fully converted, sunsetting ~2027) toward one-share-one-vote. Insider economic ownership is low. The platform, not any individual, is the asset, so key-person risk is moderate rather than high.

THE FOUR LEGS

People ●●●○○
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot

Context
The 7 Powers analysis (Power Origination)

Deal
Open-market common — entry price weighed against the probability-weighted fair value + position sizing.
+5.9% vs spot $3.64

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Recursion Pharmaceuticals supporting analysis · disclaimers · glossary

Bear $0.38 Base $0.75 Bull $6.10

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Cash cushion is real**
~$1.3/share of net cash and runway to early 2028 mean the near-term risk is dilution, not insolvency — the floor is firm.

2 **Three pharma partners paying**
Roche/Genentech ($213M received), Sanofi ($134M, fifth milestone Feb 2026) and Bayer validate that pharma will pay for the platform.

3 **De-rated price, fat right tail**
The equity is a cheap option — ~88% of the expected value sits in the bull and ultra-bull, priced lightly.

4 **Compute-scale advantage**
BioHive-2 plus automated Phenomaps generate proprietary phenotypic data at a scale rivals cannot easily match — the raw material of a cornered resource.

5 **Milestones could self-fund**
If readouts hit, milestone and royalty income reduce future raises, shrinking the dilution that drags the base and bear.

FALSIFICATION TRIGGERS

Bull validation

REC-617 combo data (1H27) and REC-4881 registrational path (2H26) read out positive; new or expanded pharma deals with upfront and royalty terms; raises shrink as milestones fund spend.

Bear validation

Pipeline readouts slip or disappoint; milestone revenue stays lumpy (Q1'26 was only $6.5M); an equity raise on weak terms confirms dilutive stagnation; partners do not expand.

Reframe needed

A drug actually reaches approval and royalty economics, shifting the story from option-on-platform to cash-flow; or a partner walks and the platform thesis breaks.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Recursion OS — Recursion's integrated platform — automated wet-lab biology plus AI/supercomputing — for finding and advancing drug candidates.

Phenomap — A large map of how cells change appearance (phenotype) under genetic or chemical perturbations, used to spot disease-relevant drug effects.

Milestone / collaboration revenue — Payments from pharma partners (Roche, Sanofi, Bayer) for upfronts and progress, not from selling an approved product — RXRX's only revenue today.

p_fail — The modeled probability the scenario ends in failure (no economically-meaningful drug), driving the equity toward the distress floor.

Sales-to-capital (s2c) — How much new revenue each dollar of reinvested capital produces; sets how fast revenue can grow before fresh capital is needed.

Distress floor — The ~$0.80/share residual value (cash and salvage) the equity defaults to in a failure outcome, setting a floor under the expected value.

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